

Multiple Choice (10 marks)

1. An electric guitar with a cash value of 90.50, *was purchased on the installment plan for 14.95* down, followed by 8 monthly payments of \$10 each. Calculate the interest rate.
 - (a) 20.3%
 - (b) 11.4%
 - (c) 17.9%
 - (d) 9.8%
 - (e) 14.2%
2. The rise in business led, private regulation can be attributed to: encouragement of a _____ approach from industry, _____ and _____ achievement of objectives.
 - (a) Proactive, Cost effectiveness, Faster
 - (b) Reactive, Cost effectiveness, Slower
 - (c) Faster, Cost effectiveness, Slower
 - (d) Proactive, Heightened costs, Faster
 - (e) Proactive, Cost effectiveness, Slower
3. John Wilson retired at age 62 with average yearly earnings of \$5400. His wife was also 62 when he retired. How much do the Wilsons receive each month?
 - (a) \$262.15
 - (b) \$150.25
 - (c) \$475.00
 - (d) \$294.50
 - (e) \$410.80
4. A glass vase sells for \$25.00. The net profit is 7%, and the operating expenses are 39%. Find the gross profit on the vase.
 - (a) \$15.25
 - (b) \$13.75
 - (c) \$10.25
 - (d) \$7.00
 - (e) \$11.50

5. A bedroom set with a cash value of 720 can be purchased on the installment plan for 18 monthly payments each. What is the annual interest rate?
- (a) 21%
 - (b) 16.8%
 - (c) 24%
 - (d) 15%
 - (e) 25%

True / False (10 marks)

Answer True or False

- 6. True or False: The millinerate for The Daily Beetle, with a circulation of 400,000 and a rate of 1.20 per agateline, is 5.00.
- 7. True or False: The variable cost of producing calculators for Smart Calculator Corp. is 1 per calculator, with fixed costs of 15,000.
- 8. True or False: Typical advertising regulatory bodies assert that adverts must not encourage unsafe practices, fear, jealousy, or trivialize serious issues.
- 9. True or False: The proceeds from discounting a 60-day note for 4200 at 6
- 9. True or False: The total amount due after 90 days on a 150 loan at 6

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Analyze the compensation structure of a salesman at the Yearly Almanac Co., including base salary and commission. Calculate the total income for a month with sales of \$5,070.20 and discuss implications for sales strategies.
- 12. Discuss the primary activities of a value chain and critically evaluate how quality assurance fits into these activities, justifying your analysis with relevant examples.

End of Paper